Corporate Governance and Sustainability of Capital Market of Bangladesh: An Empirical Study

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Abstract

We examine the impact of corporate governance on firm performance using panel data for listed firms of Bangladesh from 2009-2013. Our empirical study examines the impact of a single dimension of corporate governance and for that purpose we have selected total ten independent variables among which seven are governance variables and three controlling variables. Tobin's Q has been used as proxy to measure performance of the firm. Our result shows that board size and CFO have a positive and significant relationship with firm performance where audit committee and ownership structure show a significant but inverse relationship.

Keywords:*Corpoarte Goverannce , Firm Performance, Tobin's Q,, Stock Market*

1. INTRODUCTION:

Today wealth of the firms is no longer of the property of general shareholders but of management and firm itself. Due to the lack of long-term relationship of shareholders with firms, management and corporate insiders have become sole corporate decision-makers. This ultimately leads to misappropriation of owners' wealth. And for that reason the idea of corporate governance(CG) has been introduced in order to ensure that the management is working for the best interest of owners and for the firm rather than own interest. Shareholders always want high returns on their investments, while management of public companies want good remuneration with minimal outside intervention. Corporate governance deals with this divergence of interest between them, spelling out how to resolve this problem through providing incentives to management to act in the best interests of the owners. Corporate governance is the set of processes and policies, way by which a firm is directed and controlled in the best interest of shareholders and alignment is made between different stakeholders' interests. Good corporate governance contributes to sustainable economic development by enhancing the performance of companies ensuring efficient use of resources, protecting interest of minority shareholders, better management and improved relationship with stakeholders of the firm. Recent corporate governance reforms around the world are intended to promote capital market efficiency through increased public disclosure by firms (Anglin and Gao, 2011). Thus, the relationship between corporate governance and the value of the firm is important in formulating efficient corporate management and public regulatory policies (Rouf, 2012). According to the economic approaches to corporate governance, better firm-level corporate governance enhances the process of capital market development by reducing agency cost and increasing investors' optimism in the firm's future cash-flow (Haque et al., 2008). Financial scandals in several countries have served as justification for new legislation like the Sarbanes-Oxley Act -2002, Dodd-Frank Wall Street Reform and Consumer Protection Act-2011 or updating of Turnbull Guidance on Internal Control -2005 to regulate corporate governance practices (Ergin ,2012) specially following the accounting scandals of Enron and WorldCom in 2002. Over the past several years, the importance of corporate governance has been highlighted by an increasing body of academic research and many of them attempted to determine the impact of corporate governance on firms' performances (Black, 2001; Gedajlovic and Shapiro ,2002; Gompers et al. 2003; Yen, 2005; Brown and Caylor 2006; Dittmar and Mahrt-Smith, 2007). But most of the studies focus on corporate governance in developed markets where such type of study remains almost unexplored for developing countries. For emerging market countries, improving corporate governance can reduce emerging market vulnerability to financial crises, trim down transaction costs and the cost of capital, and lead to capital market development. Infact, corporate governance plays an imperative role in improving the value of the firm (Black, 2001; Klapper and Love, 2004; Gompers, et al.2003) and there is a direct relationship between the two in both developing and developed countries (Rouf, 2012). In his study, Babic (2003) argues that the importance of the corporate governance in emerging countries can be explained by the following influences: 1) creation of key institutions that direct the success of the economy transformation based on the market; 2) efficient allocation of the capital and the development of the financial market; 3) attraction of foreign investments; and 4) contribution for the process of national development. However, the role of corporate governance towards sustainability of capital market is crucial as good corporate governance is focused on the protection of the rights of shareholders and plays an important role in the development of capital markets by protecting their interests (Abdurrouf, et al, 2010). The link between stocks value and management choices suggests a reflection on the corporate governance role and the effectiveness of rules for its correct implementation in favour of stakeholders (Salvioni and Gennari, 2014). Better firm-level corporate governance not only reduces the agency costs, but also enhances the investors' confidence in the firm's future cash-flow and growth prospects. This in turn, reduces the rate of return expected by the investors, leading to low cost of equity capital to the firm which is likely to cause improved operating and investment performance. Thus, the reduced cost of equity and the improved operating performance eventually enhance both the firm's ability to access equity finance, and the firm value. This eventually enhances the process of capital market development (Haque et al., 2008). Now, corporate sustainability has become an important selection criterion for investors. It is evident, in fact, that a governance approach that aims at increasing the shareholders abilities of creating values over time serve as tools to help investors make decisions both in insider and in outsider systems (Salvioni and Gennari, 2014). So, ensuring corporate governance in the firm has now become a prerequisite for the sustainability of capital market.

Therefore, the purpose of our study is to show the role of corporate governance for the sustainability of stock market by empirically examining the relationship between corporate governance and listed firm performance in the perspective of a developing country which is Bangladesh. The paper proceeds as follows: In the next section, we present the literature review along with development of hypotheses. We show the research design in third section. The empirical findings are provided in section four. The final chapter shows the discussion and concluding remarks.

2. LITERATURE REVIEW AND HYPOTHESIS DEVELOPMENT:

Defining Corporate Governance: Corporate governance is the mechanism used to discipline organizations (Cadbury, 1992) through imposing rules and regulations by which an organization should be directed and controlled. It is a framework that controls and safeguards the interest of the relevant stakeholders (Morin and Jarrell, 2001) of the firm including management, the board of directors, employees, customers, creditors, suppliers, regulators, and the community at large (MahboobUddin, 2006). The corporate governance framework is the widest control mechanism, both internal and external, to encourage the efficient use of corporate resources and equally to require accountability for the stewardship of those resources (Imam and Malik, 2007). According to the OECD (2004), corporate governance involves relations among the management, board of directors, shareholders, and stakeholders of a firm. Corporate governance is a structure that displays a firm's objectives, how to reach these objectives, and how to follow the firm's performance.

So, corporate governance is the legal structure that specifies the rights and responsibilities among different stakeholders of the corporation while providing the rules and procedures for making decisions in corporate affairs. In fact, it is the blueprint that ensures attainment of a company's objectives considering the interest of all related parties

Corporate Governance and Firm Performance:

Researchers investigate the relation of corporate governance with firm performance by focusing on different factors. Though a majority of corporate governance research uses individual governance components, but in recent a number of literatures are based on corporate governance index constructing by all related factors of corporate governance. Gompers et al. (2003) develops a Governance Index incorporating 24 governance provisions to examine the empirical relationship between G-index and corporate performance for U.S. firms over the period of 1990 to 1999. They find that firms with lower G-Index have better operating performance and higher stock returns. Core et al.

(2005) also find that the G-Index is significantly related to this operating performance measure represented by ROA. Larcker, Richardson, and Tuna (2007) used 39 structural measures of corporate governance and concluded that their governance indices are related to future operating performance and excess stock returns. Brown and Caylor (2006) examine fifty-one provisions covering eight dimensions of corporate governance and create a summary index from those provisions. They show that poorly-governed firms have lower ROE, lower ROA and lower Tobin's Q. Apart from that, a number of studies focus on examining the impact of single corporate governance attribute to financial performance. Some of these attributes include ***Board Size*** (Malik et al., 2014; Jensen,1993; Lipton and Lorsch 1992; Adams and Mehran, 2005; Dalton et al., 1999); ***Independent Director*** (Klein,1998; Bhagat and Black ,1997, 1998; Daily and Dalton,1992; Dalton *et al.*,1998, Fernandes,2005, Chan and Li 2008); ***Ownership Structure and Pattern*** (Thomsen, Pedersen ,1998; Xu and Wang,1997; Kumar,2004; Imam and Malik, 2007); ***Ownership Concentration*** (Lins, 2002; Demsetz and Lenn,1985,Patibandla, 2002; Imam and Malik, 2007); ***Audit Committee*** (Hutchinson and Zain, 2009; Hutchinson and Zain's ,2009); **Chief Financial Officer** (Chava and Purnanandam ,2010; Bedard et al. ,2013) and ***Corporate Board Meetings*** (Vefeas 1999b; Ntim, 2009; Lipton and Lorsch 1992, El Mehdi, 2007).

However, the findings of these studies are mixed as some reported positive (Gompers et al. 2003; Brown and Caylor 2006; Lins ,2002; Chan and Li,2008; Ntim and Osei,2011) and some reported an inverse relationship (Yermack,1996;Lasfer,2004; Zahra and Stanton,1988,Vafeas,1999a) between corporate governance attribute and firm performance where a few numbers of literatures show no significant relationship at all (Demsetz and Villalonga ,2001; Demsetz and Lenn ,1985;Hermalin and Weisbach,1991; Cho and Kim,2007).

Board Size:

Board composition is one of the main aspects of the corporate governance. It can be widely found that there is a separate provision for board size in most of the corporate governance guideline. Any board size increases beyond an optimum point may lead to a lower level of corporate performance (Lipton and Lorsch ,1992). It may be debatable issues what should be the optimum size of the board. For example, Lipton and Lorsch (1992) argue that a board size of eight or nine directors is optimal, whilst Jensen (1993) argues that the optimum board size should be around seven or eight directors. According to the corporate governance directive of Bangladesh Securities and Exchange Commission (BSEC), the board size of a listed company must be 5-20 members. Malik et al. (2014) examines the relationship between board size and firm performance using a sample of fourteen listed commercial banks of Pakistan from 2008-2012. Their result indicates a significant positive relationship between board size and bank performance. They concluded that a large board size can enhance the bank performance in Pakistani scenario. Infact, this higher performance is the consequence of the greater collective information that the board subsequently possesses (Dalton et al., 1999, 2005). The positive effect of board size on firm performance was also documented by the prior studies of Adams and Mehran (2005) and Dalton et al.(1998). On the other hand, using data from 452 large U.S. industrial corporations between 1984 and 1991, Yermack (1996) reports a negative relationship between board size and firm performance, as measured by Tobin's Q and profitability. Similar result was found by the study of Lasfer (2004). Among others, Conyon and Peck (1998) attempt to determine the impact of board size on firm performance measured by market to book value and profitability using 481 listed UK firms for 1992 to1995 and find a significant negative effect of board size on both variables. Hence, our first hypothesis is:

> **Hypothesis 1:** There is a significant relationship between board size and firm performance.

Independent Director:

Typically, there is a recommendation in each corporate governance guideline that a board of a listed public company should contain a minimum number or proportion of 'independent' non-executive directors (Lawrence and Stapledon, 1999). Independent board members can contribute significantly to the decision-making of the board. Besides, evaluating the performance of the board they can play an important role in areas where the interests of management, the company and shareholders may diverge (OECD 1999). Being the outsider independent directors are able to monitor any self interested actions by managers (Zahra and Pearce II, 1989; Bathala and Rao, 1995; Nicholson and Kiel, 2007) and for that the presence of independent and expert members on boards and committees enhance the firm performance and firm value (Luan and Tang, 2007; Chan and Li,2008). Among others, Schellenger *et al.* (1989) and Daily and Dalton (1992) also found that having more outside independent directors on the board improves firm economic performance. Bhagat and Black (1997) studies the relationship between market-adjusted share-price performance and the proportion of independent directors for 957 large US firms from 1983 to 1995.They reported that the proportion of independent non-executive directors had no consistent effect on market-adjusted share-price performance. Similar finding is reported by Klein (1998). On the other hand, Zahra and Stanton (1988) took a sample of 100 firms in 1980 from Fortune 500 List and reported that that the ratio of independent directors has a significant negative effect on the firm's financial performance. Similarly, Using panel data of 142 NYSE firms Hermalin and Weisbach (1991) find that the different proportions of independent directors on the board has a negative effect on the firm's profitability measured by Tobin's Q. Agrawal and Knoeber (1996) also showed that the greater the proportion of independent directors, the slower the company's growth suggesting that firms having more independent directors adds little to firm value. So, our second hypothesis is:

> **Hypothesis 2:** There is a significant relationship between independent director in the board and firm performance.

Chief Financial Officer (CFO):

Being the guardian of the books of accounts, CFO's responsibility is to ensure financial sustainability of the firm. By monitoring financial activities and ensuring quality of the financial reporting process, CFOs can significantly influence their firms' financial policies (Chava and Purnanandam, 2010). CFO knowledge (Li et al. 2010), as well as board strength and financial expertise, contribute to internal control quality (Krishnan 2005, Zhang et al. 2007, Hoitash et al. 2009). Bedard et al. (2013) investigate the issue of presence of CFO in corporate board with a sample of 7,034 firm-year observations from 2004 to 2007. They found that companies whose CFO has a seat on the board are associated with higher financial reporting quality. Frank et al. (2007) reported that CFO seems to play at least as important a role as the CEO in determining corporate leverage and can influence corporate policies and even corporate performance. This paper therefore hypothesized that:

> **Hypothesis 3:** There is a significant relationship between existence of Chief Financial Officer (CFO) and firm performance.

Audit Committee:

The audit committee is a significant aspect of corporate governance in overseeing the audit process through maintaining internal controls of the accounting of an organization (Helen and Arnold, 2011; Locatelli 2002; Stein 2003; Braiotta 2002). The primary role of the audit committee is to oversee the firm's financial reporting process, the review of financial reports, internal accounting controls, the audit process and more recently, its risk management practices (Klein 2002, p.378). According to the statement of Public Oversight Board (1994), an internal audit is a crucial part of corporate governance structure in an organization which ensures credible financial reporting process of the organization. Al-Baidhani (2014) also signified audit committees as effective means for corporate governance which reduce the potential for fraudulent financial reporting.

Thus, the audit committee is the single most important part of the organization performing the function of financial oversight and control which eventually assists to improve the market performance by ensuring better quality disclosed financial reporting (Wild, 1996; Mallin, 2007). Hutchinson and Zain (2009) examined the data of 60 Malaysian companies to determine the relationship between internal audit and firm performance (ROA) with growth opportunities and audit committee independence. The results show that the performance of the firms with high growth opportunities has strong association with internal audit quality and that this positive association is weakened by increasing audit committee independence. Similar study was undertaken by Mamun et al. (2014) for 75 public listed firms in Malaysia covering period of 2008 to 2010. They find that audit committee characteristics have a positive effect on firm performance measured by EVA. The study of Aldamen et al. (2012) also reveals that smaller audit committees with more experience and financial expertise are more likely to be associated with positive firm performance in the market. So, we propose the following hypothesis:

> **Hypothesis 4:** There is a significant relationship between internal audit committee and firm performance.

Board Meeting:

The corporate board meetings play an important role in the governance, conformance and performance of companies (Lipton and Lorsch 1992; Jensen 1993). Among others, Annual General Meeting (AGM) is considered the most important board meeting for corporate firms which is under separate mandatory provision under each corporate governance guideline. Annual General Meeting is the primary platform where shareholders can raise their concerns and it is only the communication way where they can pressure the management towards attaining good governance. At the AGM, annual report is presented which contains information for shareholders about its performance and strategy over the year. Shareholders are expected to attend the AGM as they can exercise their voting power regarding different important issues like appointments of the company's board of directors, executive compensation and dividend payments. So, a better monitoring of management can be ensured by arranging board meetings regularly which eventually can impact positively on corporate financial performance (Vefeas 1999b; Ntim, 2009). According to Lipton and Lorsch (1992), cohesive bonds among directors become strong through informal sideline interactions of frequent meetings which bring a positive impact on performance of the firm. Mangena and Tauringana (2008) report a positive relationship between the frequency of board meetings and corporate performance for a sample of 157 Zimbabwean listed firms over the period of 2001 to 2003. Ntim and Osei (2011) investigate the impact of corporate board meetings on corporate performance for a sample of 169 listed corporations in South Africa from 2002 to 2007. Their study suggests a statistically significant and positive association between the frequency of corporate board meetings and corporate performance. Vafeas (1999a) took a sample of 307 US listed firms over the period of 1990 to1994 to determine the relationship between frequency of board meetings and corporate performance. He shows that there is a statistically significant and negative association between the frequency of board meetings and corporate performance, as proxied by Tobin's Q. Therefore, our next hypothesis is:

> **Hypothesis 5:** There is a significant relationship between corporate board meeting and firm performance.

Ownership Structure:

The ownership structure of the firm is the combination of different group of shareholders. The ownership structure can be different dimensions of sponsorship shareholder, government shareholder, institutional shareholder and foreign or general shareholder. From the Japanese-German governance system to the Anglo-American type, there are a number of differences in concentration and nature of ownership which are reflected through small group of interlocked (corporate) shareholders or by dividing ownership more or less equally between individual shareholders and institutional shareholder. The differences in ownership structure can affect the performance of the firm also (Imam & Malik, 2007). A number of researchers attempted to determine the impact of ownership structure on corporate governance and hence on the performance of the firm (McConnell and Servaes, 1990;Demsetz and Villalonga, 2001;Kumar,2004;Imam & Malik, 2007).

Kaserer and Moldenhauer (2008) took a sample of 245 Germen firms for the year 2003 and analyzed the functional relationship between corporate performances (measured by stock price and Tobin's Q) and insider ownership. They reported evidence for a positive and significant relationship between corporate performance and insider ownership. On the other hand, Demsetz and Villalonga (2001) find no significant relation between ownership structure and firm performance. Thomsen and Pedersen (1998) studied the impact of ownership structure on company performance and used a sample of the 100 largest non-financial companies in each of 12 European nations in 1990. They find that companies whose largest owner is a financial institution have higher market-to book values than companies in which the largest owner is a family, another company or the government. The effects on asset returns are qualitatively identical, but weaker and insignificant except for a negative effect of government ownership. Xu and Wang (1997) investigate such relationship for publicly-listed companies in China for the period of 1993 to 1995. The result shows that there is a positive relationship between firm's performance institutional shareholding where individual shareholders have a negative relation with the firm's performance. Kumar (2004) also examined empirically the relationship between the ownership structure and firm performance for the Indian corporate firm over the period of 1994 to 2000. He reports that institutional shareholding pattern has significant influence on firm performance where no such influence was found in case of foreign shareholding pattern. The study of Imam and Malik (2007) examines the influence of ownership structure on performance of the corporate firms in Bangladesh. Their empirical results provide evidence that foreign holding is positively and significantly related to the firm performance as measured by firm's holding period returns and Tobin's Q. So, our next hypothesis is:

> **Hypothesis 6:** There is a significant relationship between pattern of ownership structure and firm performance.

Ownership Concentration:

Major percentage of shares hold by a particular group may affect the performance of the firm and hence value of the firm. For example, if sponsor shareholders are the majority, then they could try their best for personal benefit. So this type of concentration creates agency problem between controlling owner and minority shareholder which could affect the firm performance (Imam & Malik, 2007). The significant relation between firm value and ownership concentration was reported by the prior study of Ahuja and Majumdar (1998), McConnell and Servaes (1990), Mork et al. (1988) and Patibandla (2002). Due to owing largest percentage of shares by a certain group, agency costs may arise as blockholders may abuse the power of how to run a business. Besides, strict control from blockholders to a firm's management will hinder the firm's performance. The decision making process is no longer an initiative from the firm's management and this results in lowered firm performance (Burkart et. al., 1997; Myers, 2000). Koerniadi and Tourani-Rad (2012) also argued that firm's performance can be deteriorated due to high ownership concentration as majority shareholders may make decisions for the benefit of their own interests at the expense of minority shareholders. Though, Demsetz and Lenn (1985) found no relation between firm performance and ownership concentration with a sample of 511 USA corporations. Using a sample of 144

Israeli firms, Lauterbach and Tolkowsky (2004) find that Tobin's Q is maximized when control group vote reaches 67%. Lehmann and Weigand (2000) studied the relationship between ownership concentration and firm performance using 361 German corporations over the time period of 1991 to 1996. Their study shows that ownership concentration affects profitability of the firm significantly and negatively. Contrast to these views, Denis and McConnell (2003), Becker et al. (2011) consider that, centralizing managerial power in block holding individuals will generally affect a firm's performance positively as they have relevant skills, time and attention to a firm's performance. Lins (2002) investigates whether ownership concentration is related to firm value using a sample of 1433 firms from 18 emerging markets. He finds that large non-management control rights blockholdings are positively related to firm value measured by Tobin's Q. The next hypothesis is therefore drawn as:

> **Hypothesis 7:** There is a significant relationship between ownership concentration and firm performance.

Overall, corporate governance plays an important role in improving the value of the firm and there is a direct relationship between these two (Klapper and Love,2004, Gompers, et al., 2003). Whether using Governance Index or single dimension corporate governance attribute, most of the researchers reported a significant relationship between corporate governance and firm performance (Black,2001, Brown and Caylor,2006; Gompers et al. ,2003; Demsetz and Villalonga,2001;Lasfer,2004;Chan and Li ,2008;Zahra and Stanton 1988, Ntim and Osei,2011). And this better performance by the firm is the consequences of lower agency costs and more effective monitoring mechanisms due to practice of better corporate governance standards. Hence, our last and most important hypothesis is:

> **Hypothesis 8:** There is a significant relationship between overall corporate governance and firm performance.

3. RESEARCH DESIGN:

For our research purpose, we examine companies listed at Dhaka Stock Exchange (DSE) of Bangladesh during the period of 2009 to 2013. Total 60 companies have been chosen for the study purpose. The 60 companies are distributed among 10 manufacturing sectors including Cement, Ceramics, Engineering, Food & Allied, Fuel & Power, Jute, Paper & Printing, Pharmaceuticals & Chemicals, Tannery and Textile Industries. These 10 sectors represent 56% of total market capitalization. We kept out all the banking and financial services companies since they are governed by the Banking Regulation Act and they have separate governance guideline.

Study Variables:

Dependent Variable: Tobin's Q has been used to measure the financial performance of the firm. Tobin's Q is the ratio of market value of equity and debt divided by the replacement costs of total assets. Tobin's Q has been used as dependent variable to measure the financial performance in a number of studies (See Yermack, 1996; Hermalin and Weisbach, 1991; Kaserer and Moldenhauer, 2008; Imam and Malik, 2007; Lins ,2002; Vafeas 1999a).

Independent Variables: Our empirical study examines the impact of a single dimension of corporate governance and for that we have selected total ten (10) independent variables among which seven (07) are governance variables and rest three (03) are controlling variables. The governance variables are: Board Size, Independent Director, Ownership Structure, Ownership Concentration, Audit Committee, Chief Financial Officer (CFO) and Corporate Board Meetings. From the prior literature (discussed above) we have selected these variables. We also included some observed company characteristics as control variables which are Age of the firm (Rajput, 2015; Imam and Malik, 2007) Size of the firm represented by Total Asset (Imam and Malik, 2007; Lang and Stulz, 1994; Gilson,1997; Rajput and Bharti, 2015) and Capital Structure (Ebaid, 2009; San and Heng, 2011; Abor,2007; Chowdhury and Chowdhury 2010).

Model Specification:

To test our Hypotheses, we estimate the following equation:

$$\text{Tobin's Q} = \alpha_0 + \alpha_1\text{BRDSIZE} + \alpha_2\text{INDEPENDENT} + \alpha_3\text{CFO} + \alpha_4\text{AUDIT} + \alpha_5\text{BRDMEETING} + \alpha_6\text{OWNR\_STRUCTURE} + \alpha_7\text{ OWNR\_CONCENTRATION} + \alpha_8\text{LAGE} + \alpha_9\text{LASSET} + \alpha_{10}\text{LCAPITAL} + \varepsilon$$

Where,

Tobin's Q = measure of firm performance;

BRDSIZE = 1 if the board size is 5-20 (as per CG directive of Bangladesh Securities and Exchange Commission) and 0 otherwise;

INDEPENDENT=1 if at least one fifth (1/5) of the total number of directors in the board are independent directors (as per CG directive of Bangladesh Securities and Exchange Commission) and 0 otherwise;

CFO =1 if the firm has Chief Financial Office (CFO) and 0 otherwise;

AUDIT = 1 if the firm has internal audit committee and 0 otherwise;

BRDMEETING =1 if the firm held Annual General Meeting (AGM) and 0 otherwise;

OWNR_ STRUCTURE = 1 if the largest shareholder of the firm is other than sponsor/director and 0 otherwise;

OWNR_CONCENTRATION= percentage of the shares owned by the largest group of shareholder;

LAGE= log of the firm age i.e. the number of years for which the company has been in existence since incorporation to the date of observation;

LASSET= log of total assets;

LCAPITAL= log of capital structure (Long term debt, equity and retained earnings);

ε = the error term.

4. EMPIRICAL FINDINGS:

Table-1 presents the summary statistics of study variables to reveal the maximum, minimum, mean, standard deviation. It is observed that almost every firm (99.67%) has a board size following the CG guideline of 5-20 members among which 80 % of them have independent directors as of 1/5th of total board size. About 72 % of firms have Chief Financial Officer (CFO) where 97.67% of firms have internal audit committee. It also reveals that 94.33 % of total sample firms hold their annual general meeting on regularly basis. About 37 % of firms have largest shareholders who are other than sponsor/director. An ownership concentration is about 56.85 % of a firm. Finally, Firms have a mean Tobin's Q of 17.61 as ratio.

Table-1: Descriptive Statistics

	Obs.	Mean	Std.Dev.	Min	Max
BRDSIZE	300	.9967	.05774	.00	1.00
INDEPENDENT	300	.8000	.40067	.00	1.00
CFO	300	.7233	.44810	.00	1.00
AUDIT	300	.9767	.15121	.00	1.00
BRDMEETING	300	.9433	.23159	.00	1.00
OWNR_ STRUCTURE	300	.3700	.48361	.00	1.00
OWNR_CONCENTRATION	300	56.85	12.5411	34.94	90.00
LAGE	300	2.984	.82678	.00	4.63
LASSET	300	21.25	2.0437	15.09	28.87
LCAPITAL	300	21.380	1.6251	17.05	26.58
Tobin's Q	300	17.616	98.8877	.02	1039.63

Table-2 presents the correlation matrix for the variables used in the analyses.

Table-2: Correlation Matrix

	Tobin's Q	BRDSIZE	INDEPENDENT	CFO	AUDIT	BRDMEETING	OWNR_PATTERN	OWNR_CONCENTRATION	LAGE	LASSET	LCAPITAL
Tobin's Q	1										
BRDSIZE	.009	1									
	(.879)										
INDEPENDENT	-.039	.116**	1								
	(.498)	(.045)									
CFO	-.043	.094	.175*	1							
	(.459)	(.106)	(.002)								
AUDIT	-.343*	.374*	.088	.250*	1						
	(.000)	(.000)	(.127)	(.000)							
BRDMEETING	.040	-.014	.022	-.023	-.038	1					
	(.491)	(.807)	(.709)	(.696)	(.513)						
OWNR_ STRUCTURE	-.077	.044	.055	.073	-.019	-.111	1				
	(.185)	(.444)	(.340)	(.209)	(.746)	(.055)					
OWNR_ CONCENTRATION	-.039	.032	-.015	.012	.124**	.087	-.226*	1			
	(.502)	(.585)	(.793)	(.842)	(.032)	(.131)	(.000)				
LAGE	-.192*	.029	-.026	.088	.191*	.016	-.123**	-.041	1		
	(.001)	(.612)	(.651)	(.128)	(.001)	(.778)	(.033)	(.482)			
LASSET	-.412*	-.031	.062	.122**	.146**	.054	-.040	.127**	.242*	1	
	(.000)	(.589)	(.285)	(.034)	(.011)	(.352)	(.489)	(.027)	(.000)		
LCAPITAL	-.166*	-.027	.056	.070	-.009	.121**	-.061	.149*	.147**	.746*	1
	(.004)	(.646)	(.331)	(.228)	(.871)	(.036)	(.295)	(.010)	(.011)	(.000)	

* Correlation is significant at the 0.01 level (2-tailed).
** Correlation is significant at the 0.05 level (2-tailed).

As correlation matrix measures the effect of each variable in isolation so the observed sign may be changed in our multivariate model which is our ultimate empirical findings of the study. Table-3 shows the results of regression analysis of panel data which depicts the impact of corporate governance factors on the firm's performance. Panel A presents the regression results including controlling variables where Panel B presents the regression results without controlling variables.

Table-3: Multiple Regression Results

	Tobin's Q	
	Panel-A --------------- **With Controlling Variables**	**Panel-B** --------------- **Without Controlling Variables**
	250.056**	1.191
Intercept	[2.336]	[.012]
BRDSIZE	189.519**	286.868*
	[2.093]	[2.866]
INDEPENDENT	-4.282	-6.742
	[-.350]	[-.496]
CFO	20.284***	12.794
	[1.804]	[1.025]
AUDIT	-197.052*	-272.364*
	[-5.315]	[-6.906]
BRDMEETING	6.894	8.200
	[0.328]	[.353]
OWNR_ STRUCTURE	-21.271**	-19.729***
	[-2.054]	[-1.727]
OWNR_CONCENTRATION	-.022	-.137
	[-.055]	[-.310]
LAGE	-6.748	
	[-1.097]	
LASSET	-30.343*	
	[-7.394]	
LCAPITAL	19.994*	
	[3.949]	
Adjusted R Square	0.30	0.13
F-Statistic	13.862***	7.458***

- t-statistics are in parentheses.
- Significance at the 10%, 5%, and 1% levels is indicated by ***, **, and *, respectively

Panel-A shows that BRDSIZE, CFO and LCAPITAL have a positive and significant relationship with Tobin's Q. On the other hand, AUDIT, OWNR_ STRUCTURE and LASSET show a negative but significant relationship with firm's performance. Thus, the results support Hypothesis-1, Hypothesis-3, Hypothesis-4 and Hypothesis-6. We did not find any significant relationship of INDEPENDENT, BRDMEETING, OWNR_CONCENTRATION and LAGE with Tobin's Q.

In panel-B, after controlling for LAGE, LASSET and LCAPITAL, the coefficient of BRDSIZE is positive where AUDIT and OWNR_PATTERN are negative and significantly associated with Tobin's Q. The results support Hypothesis-1, Hypothesis-4 and Hypothesis-6.

F-statistic of the both panels shows the overall significance of the model which indicates a significant relationship between overall corporate governance and firm performance supporting our last hypothesis. Moreover, the models pass the variance inflation factor test (See Appendix-1) as well. A lower Variance Inflation Factor (VIF) indicates that there is no severe problem of multicolliniarity in our analysis.

5. DISCUSSION AND CONCLUSION:

The aim of the study is to provide empirical evidence regarding the influence of corporate governance on firm performance in Bangladesh. After exploring the literature extensively we developed several hypotheses based on which we selected total seven (07) single dimension measures of corporate governance along with three controlling variables.

Our result shows that there is a positive and significant association between ideal board size of 5-20 members (following CG guideline of Bangladesh) and firm performance. The result is consistent with the prior study of Dalton et al.(1999), Adams and Mehran (2005), Coles et al. (2008) and Malik et al. (2014). This implies that the larger boards suffer from coordination and communication problems which sometimes delays in executing important decisions and hence board effectiveness which could adversely affect the firm performance. On the other hand, very small boards lack greater collective information and knowledge which deprives the firm from the advantage of having the sharing of expert advice and opinion around the table. Therefore, choosing an ideal board size is always best option for enhanced performance of the firm. We did not find any significant relationship between presence of independent directors in the board and firm performance which is supported by the prior studies of Dalton et al. (1998), Fernandes (2005) and Cho and Kim (2007). This is because of independent directors are appointed in Bangladeshi firms due to obligation of CG guideline without considering expertization issue in most of the cases. So, their lack of expertise fails to add value to the board and hence performance of the firm. Our result shows that there is a significant and positive relationship between existence of CFO in the organization and firm performance. The finding is in line of the previous studies of Chava and Purnanandam (2010) and Bedard et al. (2013). It is obvious that CFO can add value to the firm by managing financial risk of the firm and by playing key role regarding corporate financing decisions. We also found that internal audit committee has a negative but significant relationship with firm performance. The result of this study was similar with those of previous scholars as Dar et al.(2011), Bozec (2005), Al-Matari et al.(2012), Hsua & Petchsakulwong(2010), and MoIlah & Talukdar (2007). It is found that in Bangladesh many firms have fulfilled this post with persons with lack of job area knowledge. Thus, the audit committees are lacks the diversity of skills, knowledge, expertise and independence for which it fails to add value rather it increases the agency cost which therefore affect the firm performance negatively. On the other hand, the firms which have audit committee of independent, expert and well-informed members, they are not allowed to overestimate the earnings through manipulation. For example, Klein(2002) reports a negative correlation between earnings management and audit committee independence. Thus, firm with well governed audit committee with independent, expert panels produces less earnings manipulations by management. We did not find any significant relationship of board meeting with firm performance. Similar finding was reported by the study of El Mehdi (2007). Vefeas (1999a) argues that normally the limited time directors spend together is not used for the meaningful exchange of ideas among themselves rather they are engaged in routine tasks, such as presentation of management reports and various formalities which absorb much of the meetings. Moreover, the effectiveness of Annual General Meeting (AGM) largely depends on active participation of shareholders. In Bangladesh, it is seen that shareholders are less interested to participate in AGM and to pursue the management towards attaining good governance. A numbers of reasons can be found for which shareholders are not interested to participate in company's meeting. Companies are found to apply different tactics to refrain shareholders from attending the AGM. It is observed that the venue of the AGM to be set far away from the capital city where people are less inclined to go. AGMs are often stage-managed by a group of small people who are found to create a chaos situation to disrupt the meeting deliberately. Among these people some are found to criticize very few unimportant issues while the majority of them support most of the agenda in favour of the company management. Besides, most of the cases, AGM notice does not reach to the investors. Sometimes companies are found to circulate the AGM notice in unrecognized newspapers. In addition, shareholders have a very short-term relationship with companies as investors are more interested in reaping capital gains through frequent buying and selling of shares, instead of enjoying yearly dividend and thus their concern is more about appreciation of market value of share rather than company performance. Some of these shareholders do not possess significant level of education, understanding of company matters and they also do not know what their rights in company are and how to exercise them. And for all these reasons, investors are found to participate less in AGM of the company. Therefore, they can not force the management towards attaining of good governance and hence fail to add value for the firm. The study further shows that the firm with largest fraction of shares owned by shareholders other than sponsor/director has a significant negative effect on performance. Similar result was reported by Xu and Wang (1997) and Rajput and Bharti (2015). This indicates that firm's value and its performance increase with the level of insider ownership as reported by previous studies of Jensen and Meckling (1976) and Christoph and Moldenhauer (2005). This is because of state ownership tends to have political motivation rather than market drive which may affect the firm performance adversely where foreign firms have less presence in the board for which they fail to improve internal corporate governance system of the firm. Institutional and public shareholders have a very short-term relationship with companies as these investors are more interested in capital gain for which these types of ownership changes frequently. And for this they fail to add value to the firm. On the other hand, the relative amount of ownership held by sponsors/directors reduces the agency cost by closely monitoring the activities of the manager which helps to increase the performance of the firm. Finally, we did not find any significant relationship between ownership concentration and value of the firm. The result is consistent with the prior studies of Demsetz and Lenn (1985), Earle et al. (2005) and Al-Saidi (2013). The positive monitoring effect of ownership concentration may be outweighed by the negative effect of expropriation of minority shareholders. Thus the highly concentrated firm may fail to add necessary value to the performance of the firm. Moreover, ownership concentration can be affected by the pattern of ownership holding such as institutional investors, government investors, foreign investor or individual investors as well.

Our findings have implications for policy makers and regulators of the developing countries to make relevant policies regarding corporate governance. Ensuring good corporate governance is a key factor to achieve the improved performance of an organization. It not only safeguards interests of all the stakeholders but also shapes the rules and procedures for making decisions on corporate affairs which positively affect the performance of the firm. The companies and management should realize the urgency of ensuring corporate governance and adopt high standard practice of corporate governance so that they can improve the value of the firm. Investors should be provided proper knowledge about their rights, responsibilities, roles in the firms so that they can actively participate more in decision making regarding improving and strengthening corporate governance of the corporation. We advocate establishing separate regulatory organization that will monitor and ensure practice of corporate governance among the firms. Separate corporate governance law can be introduced. Report on compliance of corporate governance policy should be made mandatory for all the companies.

The limitations of this study can create an opportunity for further research work in this field. By increasing the time frame and incorporating other corporate governance factors, researcher can observe whether there is any difference in the result. Future research can be focused on collecting data from more diversified sectors with increased sample size. We also suggest to develop composite governance index and other standardized method to measure overall corporate governance for determining the impact of this measurement on financial performance of the firm. Finally, future researches can be conducted incorporating other developing countries in the study and the results can be compared to the other countries of the region as well as developed countries.

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Appendix-1:

Table-4: Collinearity Statistics

	Collinearity Statistics			
	With Controlling Variables		Without Controlling Variables	
	Tolerance	**VIF**	**Tolerance**	**VIF**
BRDSIZE	.837	1.195	.851	1.176
INDEPENDENT	.951	1.052	.956	1.046
CFO	.901	1.110	.909	1.100
AUDIT	.728	1.374	.799	1.252
BRDMEETING	.965	1.036	.980	1.020
OWNR_STRUCTURE	.912	1.097	.931	1.074
OWNR_CONCENTRATION	.899	1.112	.930	1.076
LAGE	.885	1.130		
LASSET	.325	3.076		
LCAPITAL	.338	2.961		